



The New Forests Company

SUSTAINABILITY REPORT

THE NEW FORESTS COMPANY

FY18

Growing

COMMUNITY

220 new jobs created in FY18, bringing the total number of jobs created directly to 1331



167
jobs created for women in FY18

16

injuries occurring at work in FY18



\$9 million spent on community development programme to date

465,000

estimated number of people in NFC's neighbouring villages that benefit from our community development programme



31

clean water points built to date



14

health centres built to date



43

schools, double classroom blocks or teachers' accommodation built to date

19

Village savings schemes established

12



Bee keeping groups supported

COMMERCE

\$14

million

sales revenues generated in 2018

\$136 million

invested to date (debt and equity)

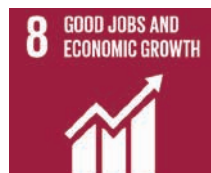


\$1,7 million

spent on road construction to date



Manufacturing plants



Africa



The New Forests Company

OUR KEY IMPACTS



of our products
sold in 2018
substituted
imports

\$136 million
biological asset value



53,846
estimated kilometres
of electricity grid built
with NFC's poles

\$2.2 million
paid in taxes or government
fees in FY18

3 pole treatment plants ,
2 sawmills & a value added
timber plant operating in
East Africa

CONSERVATION

325,000
metric tons of carbon
emissions estimated to be
removed from the atmosphere
by NFC's operations in FY18



28 million
trees planted by
NFC to date



60,000
passenger vehicles'
annual carbon
emissions equivalent
to the amount of carbon
NFC reduced from the
atmosphere in FY18

10 million
seedlings planted
by outgrowers



The mark of
responsible forestry
FSC® C124444

4x
plantations certified by
the Forest Stewardship
Council™ (FSC™)



6,400
outgrowers planting trees in the
communities surrounding NFC's
plantations to date



1/3
portion of
NFC's forest
land that is reserved
for conservation

40,000
hectares of sustainable forest
land managed by NFC

Co-hosted

the WWF's New Generation
Plantations study tour in Africa, in
Uganda – promoting responsible
& sustainable plantation forestry

10 REDUCED
INEQUALITIES



12 RESPONSIBLE
CONSUMPTION



13 CLIMATE
ACTION



15 LIFE
ON LAND



17 PARTNERSHIPS
FOR THE GOALS





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CEO STATEMENT



Julian Ozanne
Group Chief Executive Officer

The New Forests Company continues to excel in innovative and highly regarded social, economic and environmental impact which remain a source of great pride to the hundreds of men and women who work at NFC.

This year saw the proof of concept in our creative Forests for Prosperity (FP) programme which has been an original adaptation of the payment for ecosystem services model in a scheme which considerably increases community partnership and agency.

In June we hosted almost 100 international delegates on the first study tour of Africa, made by the WWF New Generations Plantations, a platform for the best sustainable practises in forestry. The FP programme was widely regarded as a wonderful new role model of how forestry companies can work better with communities within a win-win risk mitigation partnership. Our Dutch DFI partners – FMO – also loved the programme and agreed to provide a \$500,000 grant to roll it out across the company.

These initiatives – combined with our continuing massive impact on climate change mitigation and CO₂ capture and storage and our ongoing investment in our workers and our neighbours – form the very heart of the company's DNA and social and environmental returns are also much revered by many of our progressive investors and shareholders.

However, our company has so far underperformed in delivering equally on the financial returns which remain a critical driver of sustainability. At NFC we have always understood that people, planet and profit are inextricably inter linked in an interdependent sustainability matrix and that financial returns ultimately underpin our ability to continue to make a positive impact as a new generation company.

Africa remains tough going and our main problem has been demand in the regional market place. Whilst the continent desperately needs wood products – stalled economic growth; a lack of an enabling environment and poor performance of government infrastructure projects have created a very tough 18 month sales challenge.

At the same time the company had in FY18 to tackle its overburdened balance sheet – partly the result of a lack of risk appetite amongst investors into our sector who much prefer providing debt to equity.

I am glad to report that we made major progress in restructuring the company's balance sheet in FY18 with a debt to equity conversion. This will significantly lessen our debt repayments going forward while creating closer, shared value partnerships. I am also pleased to report that market conditions have also begun to improve with good prospects of the company reaching EBITDA positive soon.

More work, however, will need to be done on a balance sheet which is still over indebted.

However, finding equity investment and patient capital for this critical positive impact asset class and geography is no easy feat and the pool of investors is very small. Governments, ultimately, are well suited to taking long-term investment risk with large positive social, economic and environmental returns. However, with the exception of the visionaries at FinnFund in Finland and FMO in Holland, they largely remain timid and on the sidelines of this critical mission for our planet – literally fiddling whilst Africa burns from daily forest fires made for charcoal.

Subsequent to this report, in 2018 we became a 100% FSC™ certified company – a huge achievement for a small, young, loss-making forestry company.



The hopes of large investment into this sector from the Global Climate Fund remain exactly that – hopes – and the fund has suffered some serious teething problems and internal wrangling about its mission and mandate.

NFC has over the past decade had to largely rely on more visionary investors – private wealthy individuals, family offices and social impact funds to provide the necessary equity. However, the patience required in greenfield forestry establishment has tested many.

Once again this is where governments and multilateral financial institutions should step in. But they aren't and whilst this is less of an issue now for NFC as it heads to profitability it is a real issue for the next generation of greenfield forestry promoters. In the past 12 years since we planted our first tree in March 2006 I have only seen one new greenfield company starting out on this continent of more than a billion people and clearly the barriers to entry are getting higher, no more so than the barrier to raising patient capital. We are already at 59 minutes to midnight in Africa unless we see urgent and massive change we are all of us resigning ourselves to environmental disaster for the next generation.

The real challenge is to create new sustainable financing models and proof of the profitability of African forestry.

It is critical to this goal that we also are able to harvest the fruits of our high-level sustainability commitments and successes. We need to demonstrate

not only that sustainable investment is profitable but that it is more profitable than the alternative.

Take for example our commitment to certification by the Forestry Stewardship Council™ (FSC™) – the gold standard of best practises in responsible forestry. In FY18 we became a 100% FSC™ certified company – a huge achievement for a small, young loss-making forestry company.

However, the value proposition of this certification which is available to the hundreds of other FSC certified companies in the world – than only with the certification can you access certain markets or get premium pricing – is unavailable to us. Whilst it is virtually impossible now to buy wood and paper products in America and Europe without certification – and so companies have a tangible financial bottom line incentive to certify – in Africa this doesn't apply. Not a single company I know of including the likes of Coca Cola, Pepsi, Diageo, Holcim La Farge etc – insist on FSC certification or sustainable chain of custody in their procurement of wood products. Similarly, bilateral and multilateral donors – including the World Bank – pay no attention of this in their supply chain or in the tenders they often fund. They talk the talk but don't walk the walk in Africa essentially treating Africa as a second-class marketplace. This needs to change otherwise companies like NFC are simply loading up their cost base with high level sustainability and not reaping any reward for it and indeed disadvantaged on cost against all our local competitors who pay not heed to best practises. The only way to create

real sustainable change in corporate behaviour is to provide a bottom line incentive for change. Most forestry companies have this through FSC. NFC does not and we have engaged the FSC leadership to deliver to us few FSC certified companies in Africa an equal level of benefit and the value proposition they deliver to others. The World Bank, IFC and other multilateral and bilateral also need to urgently come to the table.

We continue to advocate strongly for impact investing, for us to be measured holistically on the returns we deliver to investors. Our shared value business model and approach to sustainability is not only idealistic but also anchored firmly in risk mitigation and management. We must continue to innovatively look for ways to support the livelihoods of our neighbouring communities to both improve their quality of life but also to reduce the likelihood or need for illegal tree theft or risk of fire from charcoal-making activities. In this report you can read about the impressive progress we are making with smallholder tree farmers and find more details on our Forests For Prosperity program.

New Forests has come this far often in spite of the headwinds – some of which we have presented above. And whilst change by many international and domestic players remains critical, NFC does not base its prospects for success on seeing that change soon. Whilst the road is bumpy we believe we are on a path to profitability and showing a success story which will pave the way for others. And whilst the road will remain bumpy we expect in FY19 to make solid progress.

COMPANY PROFILE

OVERVIEW OF THE COMPANY

The New Forests Company Group (NFC) is a sustainable forestry and value-added timber products business with operations in Rwanda, Uganda and Tanzania, a support office in South Africa, and headquarters in Mauritius. Our core business is establishing sustainable timber plantations and planting trees to harvest and process locally into high quality wood products, including electrification poles; telecom poles; fencing poles; sawn timber; kiln dried timber; moulded timber; pallets and biomass.

NFC's shared value business model is based on three foundation stones: **community**, **conservation**, and **commerce**. All three stones are equally critical to our success. If we do not create a community of aligned interests with our neighbours and employees they could become a major risk, instead of one of our biggest assets. If we abuse or neglect our environment, we will not be able to grow trees on our land in perpetuity. Ultimately, if we are not commercially successful, the company will no longer exist. Therein lies the importance of the symbiotic relationship between the three - which underpin everything we do as a company.



VISION

To be the most successful and sustainable, integrated Pan-African timber business.



MISSION

To become the premier Pan-African, vertically integrated, socially responsible, sustainable timber company sharing the value we create with our shareholders, employees, customers and neighbouring communities. We are an agent of change through responsible forestry, timber processing, profitability, employment, conservation and community development. Where necessary we challenge the status quo and established business models, redefining the role of companies as drivers of economic growth in Africa.

NFC experienced a challenging market in FY18 with sales of \$14 million, down from \$18 million in FY17. The company raised \$4.7 million in financing and converted \$21 million of existing debt to equity. We planted 28 million trees to date and manage 40,000 hectares of sustainable forests, not including the 10 million seedlings we have distributed to our neighbours since 2006. All of NFC's forests are responsibly managed using the Forest Stewardship Council™ (FSC™) principles and criteria; four out of our five plantations are FSC certified, which requires annual 3rd party compliance audits. NFC's FSC license numbers are: FSC-C001823 in Uganda and FSC-C124444 in Tanzania. The license number FSC-C131488 was received in Rwanda after the reporting period but within 2018.

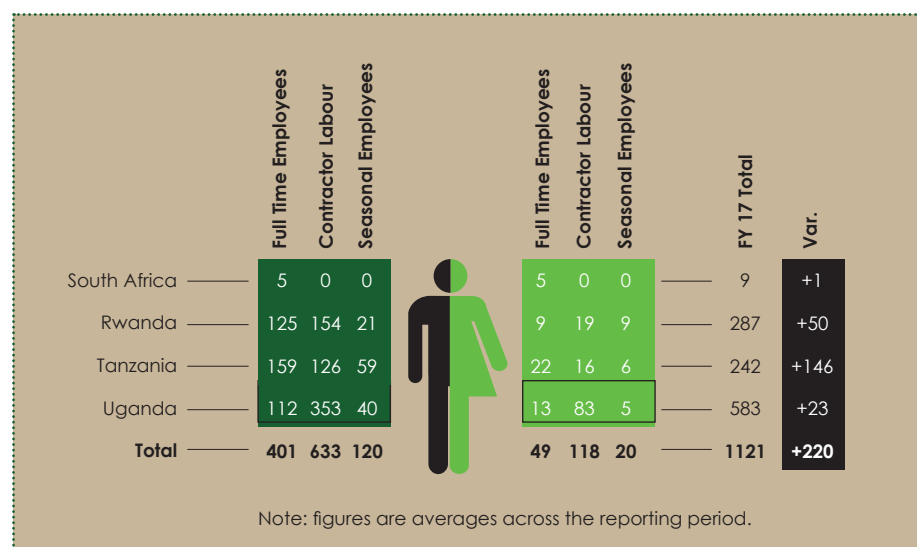
ECONOMIC VALUE GENERATED

	FY 2017 \$ millions	FY 2018 \$ millions	Variance %
Sales	18.3	13.9	-24%
Employee compensation	5.5	5.8	5.5%
Community investments	0.7	0.6	-14.3%
Payments to capital providers	7.8	8.3	6%
Taxes and other payments to government	2.9	2.2	-24%
Total assets	181.4	161.8	-10.8%
Retained earnings deficit	18.7	33.3	78%

HUMAN RESOURCES

NFC and our labour contractors directly employed 1,331 people this year, an increase from FY17, but still lower than the 1,705 employed in 2016. Due to the unpredictability of our markets, there is an ongoing effort to right size our operations.

While all of NFC's workforce are free to organize, only 11% are covered by a collective bargaining agreement, all of whom are in Tanzania.



MARKETS

NFC's strategy is based on strong demand for timber products in the electrification and construction sectors in East Africa. Our main products are transmission poles for rural electrification, as well as telecom poles, fencing poles and sawn timber products, such as pallets and construction timber. Since opening our Value Added plant, with dry kiln in Rwanda we are now also able to produce more industrialized timber products for the housing and furniture markets. We are the only industrial sawmiller in Rwanda.

New Forests is the largest manufacturer of quality transmission poles in East Africa. Since timber is heavy we aim to minimize transport between where the trees are grown, processed, and sold - providing a strong competitive advantage in the region. Keeping timber transportation to a minimum also limits carbon generation. Our main markets in FY18 remained Tanzania, Kenya, Uganda and Rwanda.

KEY DEVELOPMENTS IN FY18

East Africa continues to be an erratic market due to complex political manoeuvrings, forex challenges and often contradictory policies. Governments struggle to reach their strategic electrification targets and it is the rural communities that suffer most. The International Energy Agency (IEA) publication, "Energy Access Outlook 2017" predicts that despite government efforts, due to high population growth rates, more people in 2030 in Sub Saharan Africa will lack access to electricity, compared with 2010. This is good news for electricity pole demand but also represents increased risks and challenges for rural communities.

Tanzania restricted their spending due to government financial issues, which negatively impacted our pole sales. In Rwanda the government is heavily focused on tourism, which has limited their spend on rural electrification infrastructure. Our Uganda business continues to be slow.

The unpredictability of the utility pole market, however, pushed us to focus more on sawn timber, and we invested significantly in Rwanda to open our first value added plant – including a dry kiln and timber moulding equipment. We have made our first sales and it is generating steady interest.

We made a big move forward on the finances side this past year – converting \$21million debt to equity with FMO

and Finnfund. We are delighted to strengthen the partnership with them. Crucially this reduces the debt burden and strengthens the balance sheet for long term, sustainable growth.

NFC made good progress on our shared value strategy in FY18 by placing emphasis on the People side of our business. HR contribute through their integrated employee value model described on pages 16. From a leadership perspective, a new role was created at the Group level, for a Chief Operations Officer, to drive greater efficiency and synergies across all territories. Tanzania brought a new CEO onboard and there is a new CIO in place.

A highlight was the New Generations Plantation (NGP) study tour in Uganda which we co-hosted with WWF. The innovative Forests For Prosperity (FP) community engagement model in Uganda is being rolled out further, thanks to significant funding by FMO. More details on this can be found on page 28.

FY18 also saw steady progress in Rwanda and Tanzania with the upgrading of our seedling distribution program towards a more formalized outgrower model. This was made possible through grants from the Finnish Ministry of Foreign Affairs in Tanzania, and the World We Want Foundation support in Rwanda (please refer to page 38).



Stephen Moore
Group Chief Financial Officer



Due to high population growth rates, more people in 2030 in Sub Saharan Africa will lack access to electricity, compared with 2010.



A highlight was the New Generations Plantation (NGP) study tour in Uganda which we co-hosted with WWF.

KEY RISKS AND OPPORTUNITIES

RISKS

The New Forests Company has identified the following key risks and is proactively managing them through a risk register and mitigation strategy, summarized below.

COMMERCIAL	LOCAL ENVIRONMENT	RAW MATERIAL	PEOPLE
Limited customer base Diversifying into new pole products, sawn timber, value added timber, and new geographic markets Perception of poor quality of all local, wooden poles Working with stakeholders to proactively demonstrate our high quality, while raising local pole standards and quality assurance processes in procurement; demonstrating benefits of wooden poles over concrete Limited forestry sector financing Working with finance partners to create, patient equity and blended return financing innovations to fund growth of greenfield forestry industry Dependence on government liquidity Diversifying customer base, products, and geographies and improving debt collection mechanisms Currency exposure Monitoring closely; hedging products if necessary	Political context Navigating complex political environments while adhering to global standards of governance and ethics is one of NFC's critical competitive advantages Community and labour Implementing NFC's proactive community and labour engagement strategies including Forests for Prosperity to strongly align interests Land acquisition Adhere to national laws and voluntary international responsibility standards through a comprehensive checklist for all land acquisition	Crop loss Managing fire, pests, diseases and theft through awareness, training, close monitoring, research and development, incentive alignment and legal action Supply chain transparency Working with FSC and other experts to develop practical, cost-effective options for smallholder African tree planters Climate change Mitigation: measuring carbon footprint; adaptation: using drought resistant seeds and planting early in rainy season	Key personnel loss Driving the integrated employee value model across the organization to ensure a balanced employee experience, which covers aspects such as training and development, onboarding & recognition Health and safety Continuous training, incident reporting and prevention by operational managers, with auditing and guidance by SHEQ manager

OPPORTUNITIES

The company has a reputation for responsible forest management and high-quality timber products. This track record opens doors for us to grow, through scale and diversification. We are continuously looking to diversify products and geographies.

Rural electrification and grid expansion remains a key East African regional development strategy and we see growing demand for poles in FY19.

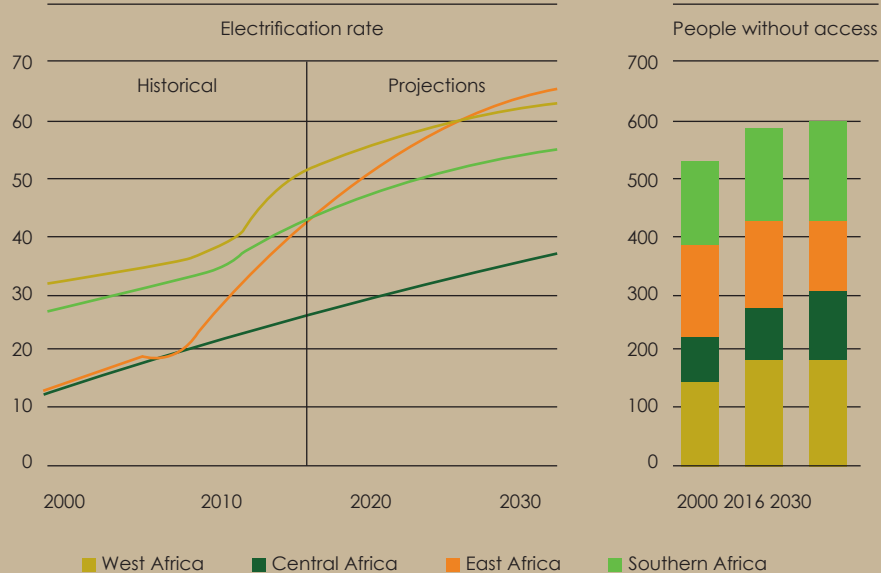
International Energy agency (IEA) special report titled, *Energy Access Outlook 2017: From poverty to prosperity* "Energy access is the "golden thread" that weaves together economic growth, human development and environmental sustainability. Energy has long been recognised as essential for humanity to develop and thrive, but the adoption in 2015 by 193 countries of a goal to ensure access to affordable, reliable, sustainable and modern energy for all by 2030, as part of the new United Nations Sustainable Development Goals (SDGs), marked a new level of political recognition. Energy is also at the heart of many of the other SDGs, including those related to gender equality, poverty reduction, improvements in health and climate change".

This speaks directly to our shared value vision and how sustainable forestry promotes sustainable development.

Strong electricity expansion rates are expected throughout Sub Saharan Africa until 2030, especially in East Africa, where NFC's business is focused.

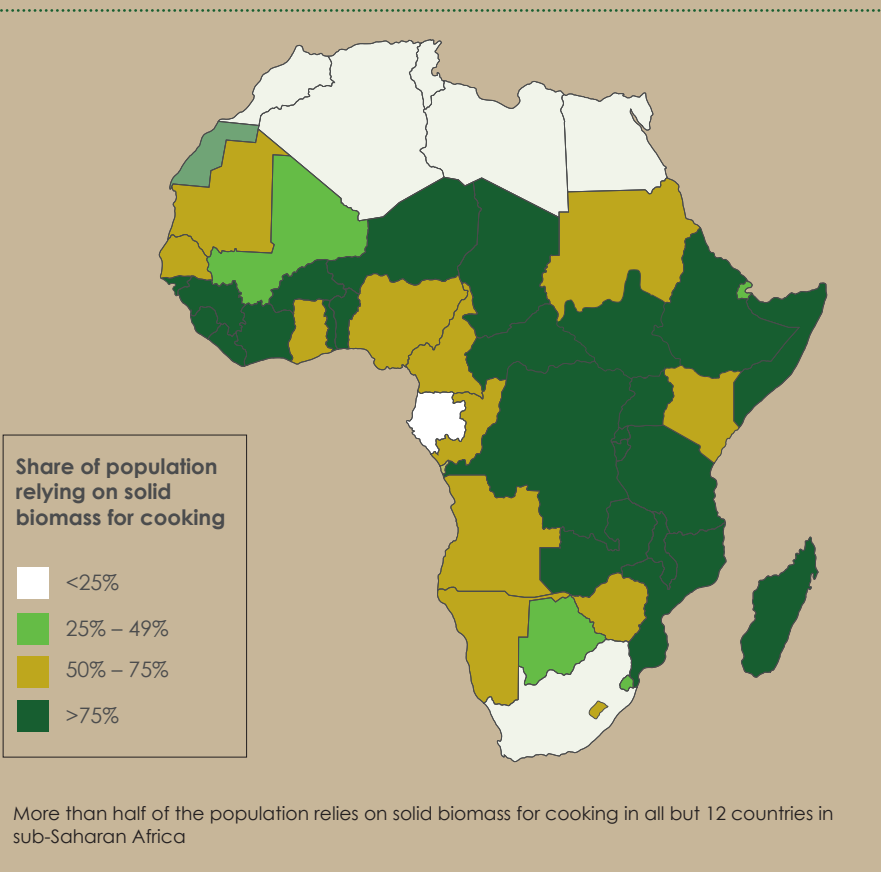
High rural population growth rates mean 75%+ of Rwanda, Tanzania and Uganda still rely on firewood for cooking and power. This translates into significant risks to forests. We need to be vigilant, working closely with communities to support their own livelihoods development and mitigating risks of theft of our trees or fire from the making of charcoal. Forests For Prosperity and the strengthening of our outgrowers programmes are key examples of how we execute this strategy.

ELECTRICITY ACCESS RATE AND POPULATION WITHOUT ELECTRICITY ACCESS BY REGION IN SUB-SAHARAN AFRICA IN THE NEW POLICIES SCENARIO



While the electrification rate improves in all sub-regions, population growth means that the number of people without electricity access rises to 600 million in 2030

POPULATION RELYING ON SOLID BIOMASS FOR COOKING IN AFRICA BY COUNTRY, 2015



GOVERNANCE

The highest governance body is the New Forests Company Holdings Ltd. board of directors. Five board members hold shares in the company - or represent parties who do - and the chairman is independent. All directors, apart from the CEO, are non-executive. The board members are nominated by the existing board and serve the shareholders. Currently, they are all white men. Each director must agree with NFC's triple bottom line approach to doing business. All conflicts of interest among board members are declared before they join the board and they are required to report any that arise subsequently.

The Chief Impact Officer (CIO) reports to the Group CEO and is responsible for developing and implementing the shared value strategy to maximize our positive impacts in community, conservation, and commerce. She makes regular presentations to the board for oversight and guidance. Social, economic and environmental topics are business critical and reported on at every quarterly board meeting.

Below the holdings board is the NFC group Executive Committee (ExCo) who set strategy and are comprised of the Group CEO, Group CFO, Group

Head of HR and the CEOs of the businesses in Uganda, Rwanda and Tanzania (five men and two women, six are white and one is black). NFC's management committee (ManCo) discusses operational issues and includes all heads of departments: Group CEO, Group CFO, Group CIO, Group Head of Forestry, Group Head of Human Resources, Group Head of Planning, and Safety Health, Environment and Quality Manager (five men and two women, six of whom are white and one is black).

ExCo and ManCo set the group's purpose, mission statements, strategies, policies and goals, including those related to shared value. When ManCo or ExCo agree on a policy that has substantial financial implications, the CIO presents management's proposal to the board for approval.

Environmental, social, and economic impacts are collected by the in-country management committees, particularly Corporate Responsibility Programme Managers who report to the country CEOs with a dotted line to the CIO. Whenever a critical concern arises, it is raised to the members of ExCo and ManCo. These committees include it in the quarterly

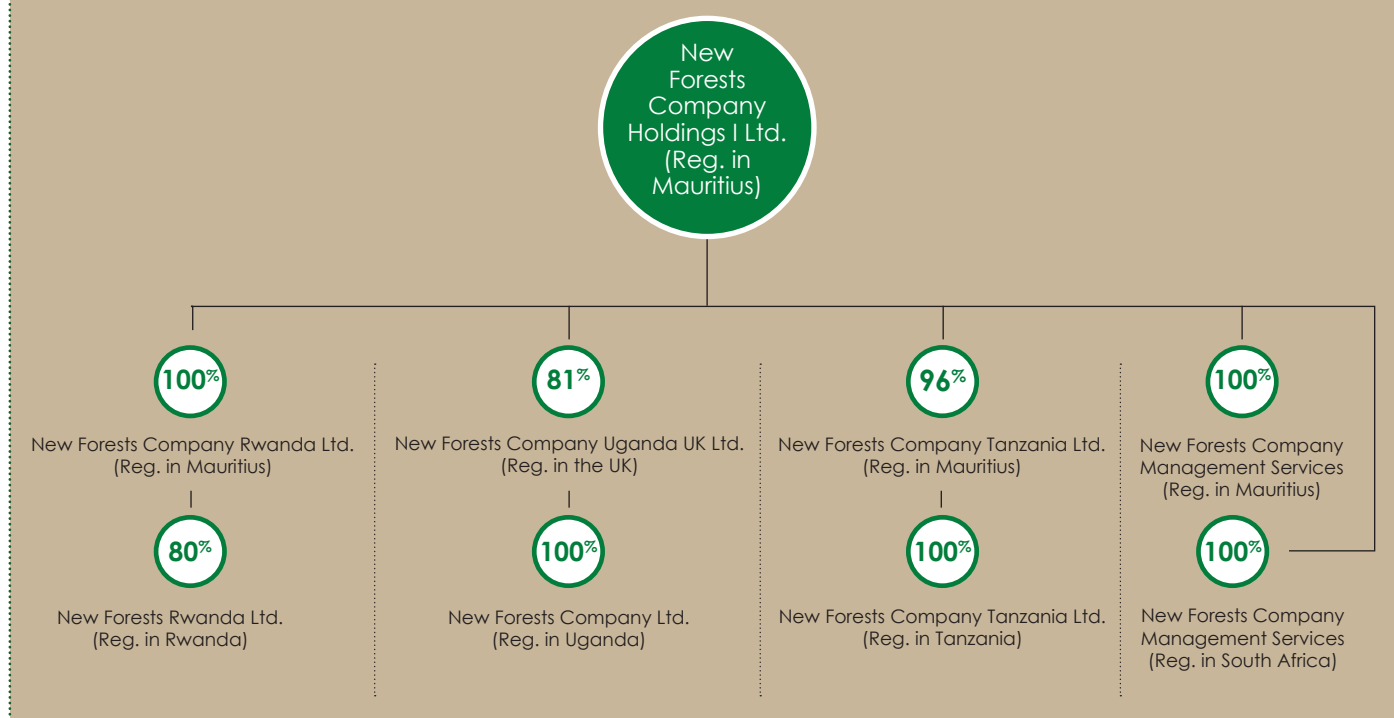
board meetings or communicate it immediately, depending on urgency.

The group's shared value performance is assessed annually by third party independent auditors through the Forest Stewardship Council annual certification audits and the Environmental and Social Action Plan (ESAP) which drives compliance with the International Finance Corporation's Environmental and Social Performance Standards. The Board also reviews and approves NFC's annual sustainability reports, ensuring all material aspects are covered.

NFC has a code of conduct that every employee must sign and uphold. Employees know they can discuss issues of ethics and integrity with their direct supervisor or further up the chain, if necessary. All employees have access to an anonymous whistle blower hotline.

The below entities are all included in the company's consolidated financial statements but the focus of this report is on the operational companies in Uganda, Rwanda and Tanzania. The holdings and management services companies' main social, environmental and economic impact is in setting and auditing group level policies.

NEW FORESTS COMPANY GROUP TRADING STRUCTURE – JUNE 2018



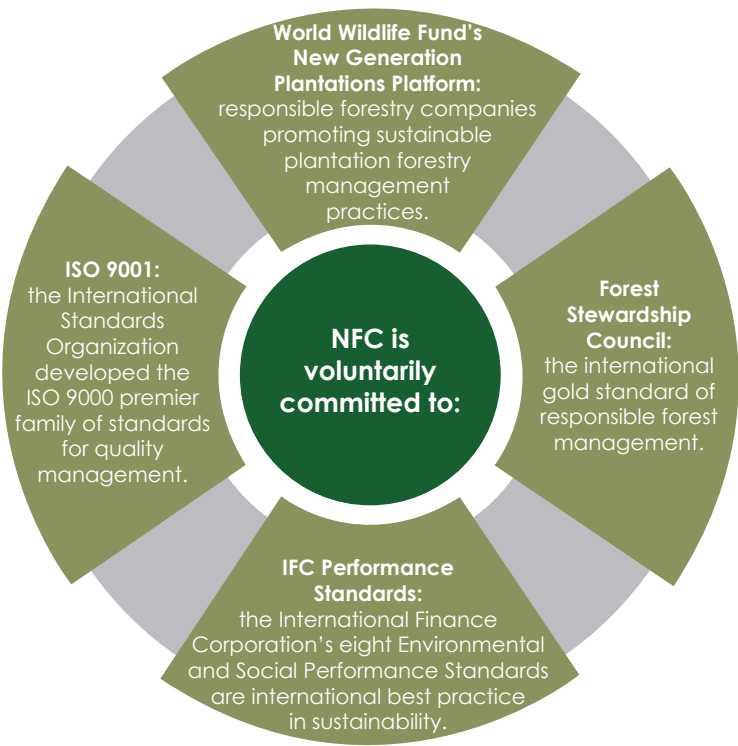
STANDARDS AND ASSOCIATIONS

The company applies the precautionary approach to our operations by conducting Environmental Impact Assessments (EIAs) and biodiversity studies at all plantations and timber processing sites. Our ongoing impacts are monitored and managed in compliance with the high standards of the Forest Stewardship Council (FSC). Four out of our five plantations are FSC certified and audited annually.

In addition, we conduct social baselines and Participatory Rural Appraisals (PRAs) at all of our operational sites to assess the extent to which any social harm may be caused by our company. From these we develop action plans to avoid causing environmental, economic or social harm and to identify opportunities to increase our positive impacts.

“ Our ongoing impacts are monitored and managed in compliance with the high standards of the Forest Stewardship Council (FSC) ”

INTERNATIONAL STANDARDS AND PARTNERSHIPS



NATIONAL ASSOCIATIONS

NFC is a member of:

African Forestry

Coordinates forestry industry players and stakeholders in Tanzania to facilitate sustainable growth of the industry.

Association of Tanzania Employers

CEO Round Table of Tanzania

Forum for industry leaders in the Tanzanian private sector to engage government, development partners, and stakeholders to drive economic growth.

East African Business Council

Federation of Ugandan Employers

Coordinates employers and stakeholders.

FSC Working Groups

Developing national FSC standards in Uganda and Tanzania.

Kenya Wood Preservers Association

Coordinates timber processors.

Private Sector Federation in Rwanda

Coordinates the private sector to engage government and development partners to drive economic growth.

Private Sector Foundation Uganda

Uganda Manufacturers Association

Uganda Timber Growers' Association

Coordinates timber growers and their interests in policy making to support tree growing.

Uganda Utility Pole Producers Association

Coordinates timber processors, particularly in driving up quality in the sector.



CORPORATE HIGHLIGHT – INTEGRATED EMPLOYEE VALUE MODEL

We strive to employ people who are honest, hardworking, productive and disciplined. We welcome people to respectfully challenge the status quo but to be fully committed to agreed leadership principles. Our model leaders are ambitious, dedicated with a high capacity for work, results oriented, accountable, have high levels of integrity, are passionate with flexible leadership and people management skills.

NFC is committed to treating everyone with respect and dignity, valuing individual, cultural and linguistic differences, and recognising their rights as employees. Employees are encouraged to communicate frequently and with candour, listening to one another regardless of level or position. Recognising that exceptional quality begins with people, NFC empowers employees to use their individual and collective capabilities to deliver quality products and services to both internal and external customers. Additionally, NFC supports open and honest discussions with our directors and employees around their performance measured against clearly set goals made in line with NFC's strategic priorities.

It is critical for the success of our organisation, that our employees are on this growth journey with us, and fully understand the foundation stones of Community, Conservation and Commerce. Ongoing training and forums are conducted across the regions, to assist employees to understand the importance of the balance of these components and how the organisation growth impacts both on employees and the communities they live in.

In FY19 we are commencing monthly 'People Places Forums' in each region, with a focus on driving a culture of shared value as we strive to improve the HR offering. This follows the cascading of the People Strategy which highlights the HR focus areas aligned to business outputs.

The key business strategy of growing shareholder value is supported by HR driving a culture and organizational structure that supports the business strategy now and into the future.

The business strategy is cascaded down through the organization by defining the corresponding country and CEO priorities, then further cascaded into the operational plans and again broken down into the component departmental and team plans. Feedback on the progress towards the plans is reported



Stella Molenaar
Group Head of Human Resources

on regularly to employees and management, with corrective actions put in place, where necessary.

The HR integrated employee value model directly links the contribution of employees and teams back up to the objectives and strategy of their department and the company. By having an employee centric model, we drive cultural and structural improvements aligned to the company strategy for NFC to be a successful and sustainable business.



The employee centric model creates a sustainable shared value business for NFC, beginning with our **CORE VALUES**:

INTEGRITY 	INSPIRATION 	INNOVATION 
Honesty Openness Accountability – no acceptance of continued poor performance Doing the right thing-always We are ethical and trustworthy Walking the talk Fully committed to the organisation and its efforts	Lead by example Optimistic Investing in the growth of people Mentorship is always top of mind – each one teach one – celebrate successes Making a positive difference Live the NFC Vision Connecting with our planet and doing whatever we can to protect it Enabling economic growth in Africa Passion	Implement new ideas in a measured way but with urgency We are open to new ideas We share best practices We encourage decision making – with accountability Always challenging assumptions Always striving for excellence and looking for better ways to do things



It is critical for the success of our organisation, that our employees are on this growth journey with us, and fully understand the foundation stones of Community, Conservation and Commerce.

HR STRATEGIC MAP FY18				
WHAT	Organisation growth & optimisation	Revenue growth		Reputational risk
	Creating a sustainable environment	Employee development and growth	Optimal structures	Governance
HOW	Drive a culture and organisation structure, which supports our business strategy for now and the future			
	Structures are aligned with the company strategy and operational plan	Critical competency gaps identified and development plans in place	Recruitment and onboarding process	Compliance of all labour relations acts and practices

COMMUNITY

NFC continues to strive toward scalable, innovative private sector driven rural development in East Africa. We follow a transparent co-design model of piloting innovations and using data to monitor and analyse our performance, aiming to learn lessons and apply continuous improvement.

Our Payment for Risk Mitigation pilot in Uganda, Forests For Prosperity (FP) completed its 2nd year of operations and continued to exceed expectations. This has informed the decision to expand the program to the other plantations in Uganda and the Pole Plant. This is a cost effective, win-win community partnership model that significantly reduces risks for the company while expanding the positive impacts for community and conservation.

In Rwanda and Tanzania we focused on improved technical assistance to smallhold tree growers and mapping their information into our main forestry database tool. The outgrower program has benefited greatly from external funding to reach scale.

Outgrower seedlings amount to 27% of NFC's total seedlings planted. As it takes many years for trees to grow, we now need to focus on how best to support outgrowers while they wait for the trees to reach maturity. One key element is technical assistance and another element is intermittent cashflows. If their trees are better quality and stay in the ground longer, they will get significantly better revenues, while sequestering more carbon.

For our own labourers, we implemented the fourth year of our commitment to double the wages of our lowest paid workers and are on track to achieve this goal in 2020. This is improving morale, productivity and retention. For the third year we have also sent a high potential employee to study at the best practical forestry management programme on the continent, Saasveld Forestry College at Nelson Mandela University.

OUTGROWERS SCHEME ACHIEVEMENTS – 30 JUNE 2018

	 Tree Seedlings Distributed to date	 Outgrower farmers	 Co-funders
Uganda	7,000,000	3,000	EIB, DEG
Tanzania	1,700,000	1,400	Finland
Rwanda	1,600,000	2,000	W3 Foundation
Group	10,300,000	6,400	





UGANDA

- Successfully planned and co-hosted the New Generation Plantations' study tour in Uganda with WWF.
- Received East African Business Council (EABC) Certificate of Excellence 2nd Runners Up – Category Best East African Company CSR.
- Attended the final close out celebration of our agreement with the Mubende Affected Community Cooperative, marking the formal closure of the complaint.
- Completed all projects and interventions agreed under the CAO mediation agreement with the Kiboga Affected Community. The Conclusion Report and final close out ceremony happened after the year end but before printing of this report.



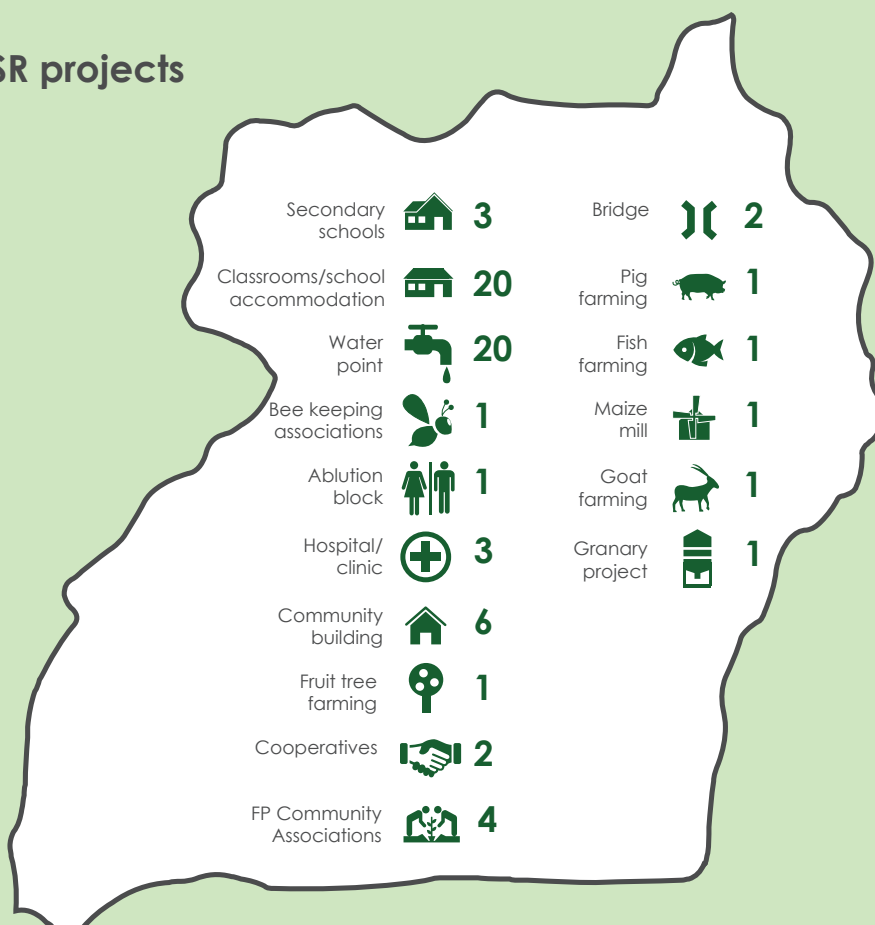
Patrick Mugenyi, Uganda CEO and
Alex Kyabawamp, CSR PM

Forests for Prosperity (FP)

- Signed an agreement with FMO for a \$500k grant to scale the FP model to Luwunga and Namwasa plantations and the Pole Plant.
- Completed the Second year of the Forests for Prosperity pilot at Kirinya with positive results. Risks to the plantation reduced by two thirds and 63 million Ugandan shilling of value was created for the communities.
- 1,000 community members trained in financial literacy.
- Memoranda signed with Opportunity Bank as MFI partner.
- Started integrating outgrowers into the FP process.

Cumulative NFC CSR projects

Kirinya Plantation,
Luwunga Plantation,
Namwasa Plantation and
the Pole Plant





TANZANIA

Outgrowers Expansion

- Registered 540 additional outgrowers into our data base and conducted trainings for them.
- Distributed 789,000 seedlings to 16 groups of outgrowers (with a total of 540 members) - co-financed by MFA-Finland.
- Extension foresters mapped and processed over 670ha shapefiles of outgrowers plantings.

Community development projects

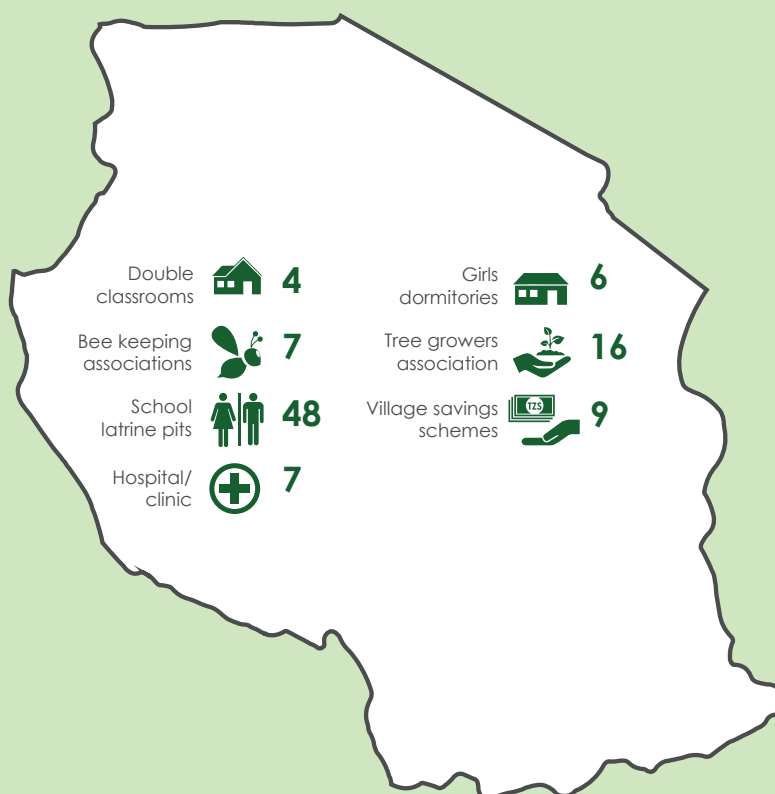
- Strengthened 9 village savings schemes (VSLAs), with a total of 250 members (90% women) through trainings and capacity building to help communities and outgrowers access loans for additional income.
- Supported 6 bee keeping groups (with a total of 180 members) in 6 villages to improve honey production. More than 90Kgs of honey was produced.
- Two building projects were commissioned and handled over to the government, namely: double classrooms at Kimala primary school and two- in -one doctor's accommodation at Kising'a village.



Nyachia Roberts, Tanzania CSR PM,
Kari Leppanen and William Nambiza from
the Finnish Embassy

Cumulative NFC CSR projects

Kisinga Plantation,
Lukosi Plantation and
Makungu Plantation





RWANDA

Biodiversity assessment report completed, thanks to funding from DEG.

Outgrowers Expansion

- An additional 562 outgrowers were registered into our database and provided with basic trainings.
- Distributed 888,324 seedlings on 761.3Ha of land to outgrowers, thanks to a grant from the World we Want foundation.

Community development projects

- Infrastructure Projects included one new water point in Nyamasheke district and one power generator for a community health center in Nyamagabe district.
- 6 village savings and loan associations (VSLA) were established with training provided.
- 60 students participated in a forestry related study tour in Nyanza district.
- Apiculture training provided to 50 bee farmers in Nyamasheke district.



Meredith Bates, Group CIO and
Joseph Munyarukaza, Rwanda CSR PM

NFC CSR projects

Nyamagabe Plantation

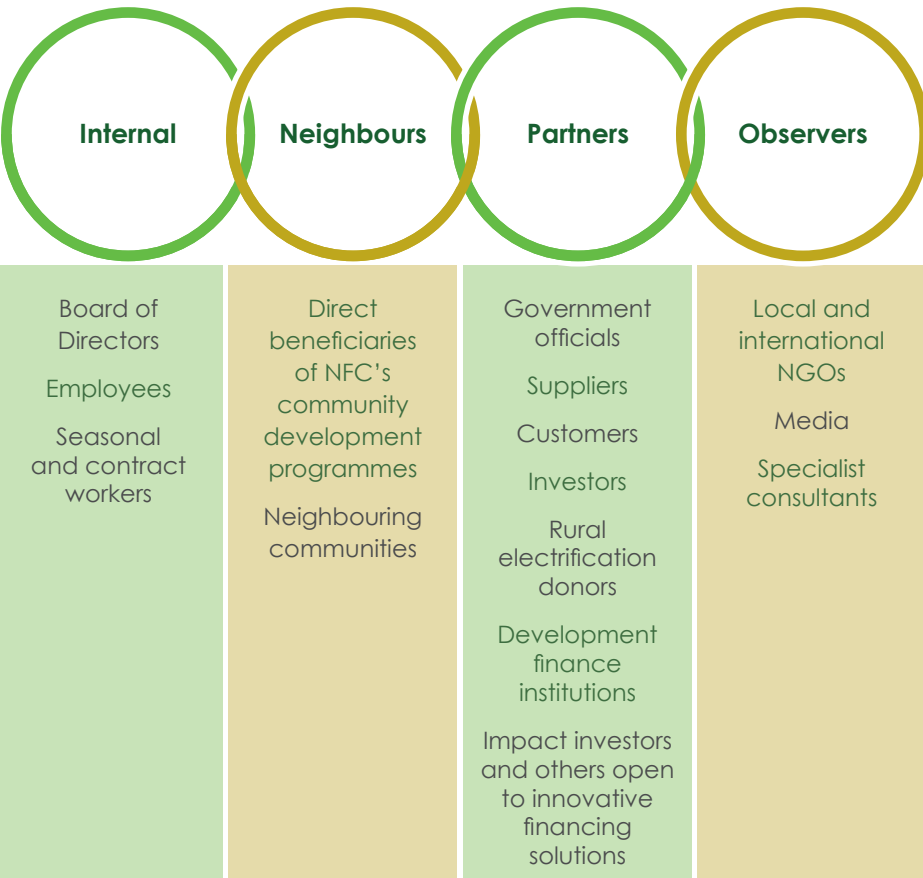


STAKEHOLDER ENGAGEMENT

New Forests' relationships with our stakeholders are critical to our success, and we take a holistic approach in identifying and engaging these stakeholders, to reflect our focus on commerce, conservation and community.

OPPORTUNITIES

NFC has identified the following key stakeholder groups:



RELATIONSHIP MANAGEMENT

Each level of our stakeholder ecosystem has a different level of engagement:

daily interactions, regular meetings, official grievance mechanism	daily interactions with NFC's Community Development Officers, regular meetings, official complaints mechanism, annual perception surveys, Participatory Rural Appraisals or Forests For Prosperity community engagement	regular meetings, reports as requested, annual Sustainability Report	proactively engage local players and respond when engaged by international parties
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STAKEHOLDER FEEDBACK

NFC has added an additional tool to our toolbox of stakeholder engagement, modelled off customer satisfaction surveys, called "Constituent Voice". This allows us to actively listen to our stakeholders and not only address their complaints, but also suggestions or aspirations. It was a key driver behind piloting Forests For Prosperity and trying to formalize the outgrower scheme.

Concerns from our customers about quality issues in the pole market continue and we have responded by implementing additional quality control measures at our plants, also engaging with forestry to improve sourcing quality. In addition, we are working with external consultants on ways to drive up quality of electrification poles including standards setting and quality assurance processes.

Our collaboration with WWF and NGP is aimed at increasing stakeholder interactions and accessing broader conversations around sustainable and successful greenfield forestry.



EXTERNAL MITIGATION

In FY18, New Forests invested a total of \$1,175,000 (FY17: \$700,000) in community development and stakeholder engagement, which continues to be critical in mitigating future negative impacts. This increased spend came from grants (\$575,000) adding to the largely stable \$600,000 of internal NFC funding. Total investment in community development to date is \$9m.

All of NFC's forestry and timber processing operations have comprehensive community engagement, impact assessments and development programmes (see diagram below).

We define significant impacts as affecting communities' livelihoods, access to clean water, employment opportunities, environmental hazards, physical safety, economy and political climate. Communities living within five kilometres of our plantation boundaries are included in our definition of local communities.

The operations with significant potential or actual negative impacts on local communities are the forestry operations and utility pole treatment plants in Uganda, Tanzania, and Rwanda. The potential negative impacts include: fire, watershed damage, erosion, spillages of hazardous substances, dust created by vehicles, housing displacement, displacement of grazing and crop cultivation activities leading to loss of income, health and safety risks, damage to private property and encroachment onto private property.

Actual negative impacts of our operations have been physical displacement of persons, their crops, livestock and temporary housing; political and local leader manipulation for personal gain; and damage to private property. However, the company does everything we can to mitigate and compensate for these negative impacts through supplementary action plans (SAPs), ensuring our net impact is overwhelmingly positive and preserving our mutually beneficial relationships with our stakeholders that is so critical to our long-term success.

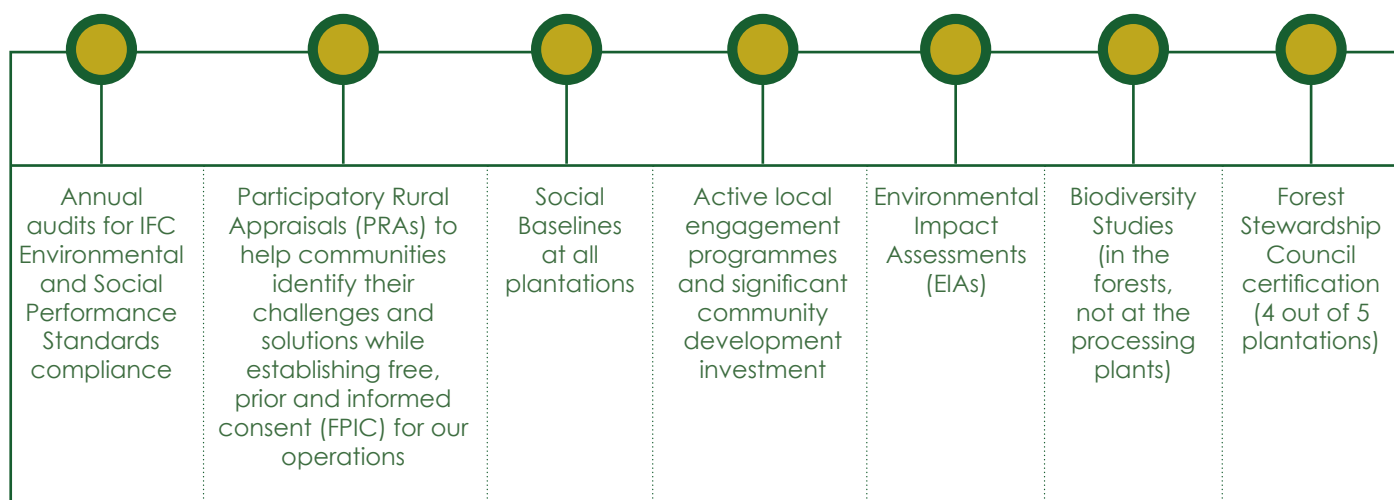
The company cannot currently monitor all the impacts within our supply chain. Our markets do not yet pay a premium for sustainably sourced timber, making the tracking systems cost-prohibitive. However, we are engaging with Forest Stewardship Council (FSC) and other stakeholders to develop a practical solution for smallholder timber growers in rural Africa.

CORRUPTION

NFC has a zero-tolerance policy on corruption by employees, suppliers, or other stakeholders as laid out in our Code of Conduct. All our operations are assessed for corruption risks by our CEOs and finance teams. In FY18 no system gaps were identified requiring corrective actions.

NFC has explained our anti-corruption policy to 100% of our governance bodies, employees, seasonal and contract labour, suppliers, and business partners. NFC has never had a legal action filed against us regarding anti-competitive behaviour or violations of anti-trust or monopoly legislation.

As a matter of policy, NFC did not make any political contributions in 2018. The company was fully compliant with laws and regulations and was not required to pay any non-compliance fines or sanctions.



EMPLOYMENT

The company uses the role as an employer to transform the lives of our people. The HR department has a people strategy that focuses on:

Leadership Commitment

Driving the group strategy through leadership development and coaching.

Values and Behaviours

Improving recruitment processes and onboarding of new employees.

Workforce Capabilities

Driving performance and talent management; learning and development.

Recognition and Consequences

Ensuring we pay our employees correctly and recognize high performance.

Practices and Procedures

Complying with good practices and principles for employee wellbeing.

Underpinning Structures

Having the right structures, competencies to support sustainable growth.

Monitor and Evolve

Tracking our achievements against our strategic objectives.

LOCAL RECRUITMENT

NFC's turnover rate in FY18 was 5% (85% men), with a total of 43 new hires (11 women and 32 men; four were below 30 years; 38 were 30-50 years old and one was over 50).

The HR Manual which requires managers to recruit locally unless the skills or expertise are not available and cannot be trained in the short to medium term.

Vacancies for all positions are advertised in the local media and shared with the neighbouring communities. All applications are screened, suitable candidates are interviewed and subject to competency assessments depending on the skills required. Final interviews are held and reference and qualification verifications are conducted. The interview panel makes a decision based on the above and offers of employment to the best candidate for the position.

DISCRIMINATION

No incidents of discrimination were recorded in FY18. We have a formal grievance procedure that employees are encouraged to use via their line managers, the HR department, and, where applicable, the trade union mechanisms. All grievances are reported to the Group Head of HR. There were four grievance recorded this year in Rwanda; 5 in Tanzania and 1 in Uganda. All were addressed and resolved in the same reporting period.

We encourage employees to contact the Whistle Blower hotline which is managed by an accredited independent external service provider called: Whistle Blowers (Pty) Ltd. The service provides directors, employees, communities, contractors, suppliers and associates with the means to anonymously "blow the whistle" on fraud, corruption, criminal activity and/or other irregularities in the work place. Each country has a toll free number that is advertised via posters, on the corporate website and communicated verbally by HR Managers in all countries to employees, contractors and neighbours.

OUR SPLIT OF EXPAT AND LOCAL MANAGERS BY LOCATION AND GENDER

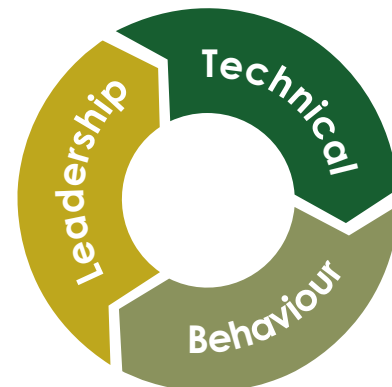
	Local		Expatriate		Total
	Male	Female	Male	Female	
South Africa	3	2	3	0	8
Rwanda	21	5	4	0	30
Tanzania	12	3	2	0	17
Uganda	23	3	5	0	31
Total	59	13	14	0	86

PROFESSIONAL DEVELOPMENT

Training is broken down into three key areas: **Technical, behavioural and leadership**.

We encourage a blended learning platform, which entails: formal training; informal training; on the job training; mentoring; coaching and online learning. This allows flexibility of delivering training to all employees within the regions. Supervisory and Management development modules have been created and will be rolled out across the regions in FY19.

All new employees receive orientation training and go through an in-depth onboarding process, to ensure they understand the expectations of the role; the structure of the organisation; processes; policies; code of conduct and who to contact for assistance. Development plans are put in place for employees during performance appraisal discussions, which are held on a quarterly basis.



HEALTH AND SAFETY

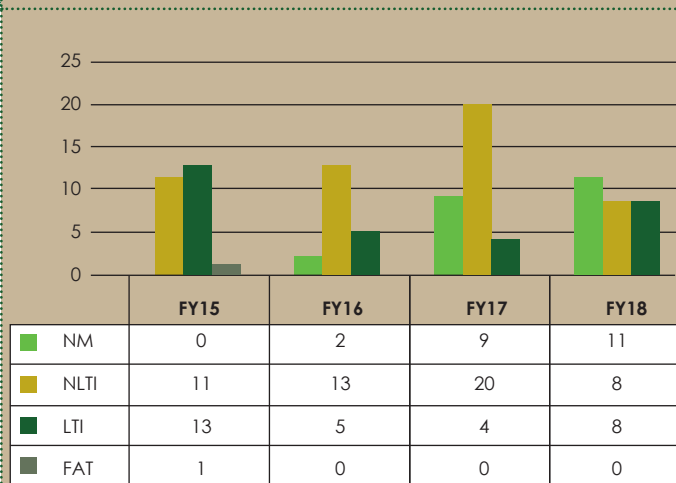
In FY18, NFC had a total of 16 injuries while at work. The graph shows a decrease in more serious incidents (LTI = lost time incidents where time had to be taken off work as a result and FAT = fatalities) and an increase in the least serious incident type, being NM = near misses. This increase is likely due to greater integrity in reporting, as the CEOs and Forestry teams have been focusing on the discipline.

In FY18 our LTIFR (lost time incident frequency) went up while AIFR (average incident frequency) went down. These are calculated by multiplying the number of incidents by one million and dividing by the total man hours worked over a period. We aim for fewer incidents and less downtime and continue to monitor these trends closely.

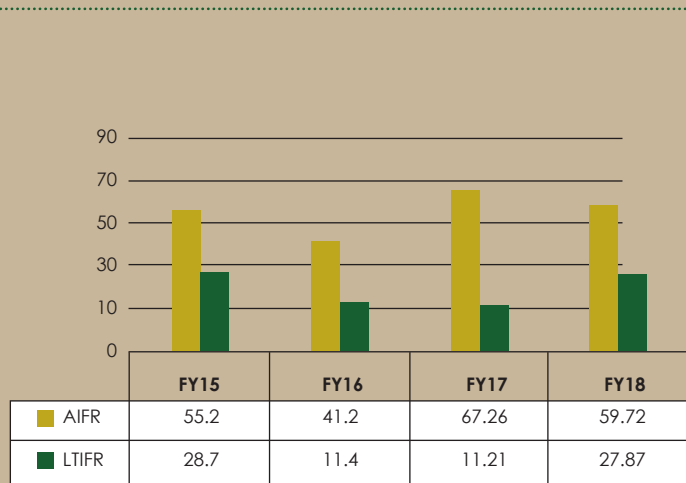
The representation of employees in formal joint management-worker health and safety committees is: Rwanda is 7%, Tanzania is 5%, and Uganda is 7%. Our work locations are remote and our workforce is 87% male. Sometimes when they are working, they do not live with their families, which increases the risks of HIV/AIDS, so we organize HIV/AIDS voluntary, anonymous counselling and testing quarterly or annually (depending on the risk in that area). We operate in areas where malaria is prevalent, so we have also done trainings on malaria prevention and treatment. Our agreement with the labour union in Tanzania does address health and safety.



NFC GROUP SAFETY STATS ANNUAL COMPARISON



INCIDENT FREQUENCY RATES:



Our safety performance has not changed significantly over the past year. We are already seeing an improvement in near miss reporting, though we still need to improve. We have recorded an improvement in in-house training and are actively working towards doing this better and reaping the positive benefits in terms of improved safety and better quality.

We continue to record increasingly good results in the certification audits for our operations. It does not mean that we are perfect, though it is a testimony that our Integrated Management System is functioning well.



Alois Mabutho
Group Safety Health, Environment
and Quality Manager



HUMAN RIGHTS

All our investment agreements include consideration for human rights and social impact, often within the frameworks of the International Finance Corporation's Environmental and Social performance standards and the Forest Stewardship Council. Rwanda, Uganda & Tanzania all ensure that 100% of our workers are trained in our human rights policies. The CSR teams include human rights awareness trainings in their community work.

According to the national laws in Uganda, Rwanda and Tanzania and international statutes, none of the local communities in our areas of operation are considered "indigenous peoples." During FY18, we had no violations of the rights of indigenous people.

EXTERNAL EVALUATIONS

In FY18, the company underwent Ugandan and Tanzanian plantations' successful annual FSC audits, the public summaries of which are available on our website. NFC's Environmental and Social Action Plan (ESAP) also continues to be reviewed with investment partners for compliance with International Finance Corporation's (IFC) Environmental and Social Performance Standards, covering 100% of NFC's forestry and timber processing operations.

GRIEVANCE RESOLUTION

During FY18, there were no new grievances related to human rights filed. Seven years ago complaints were raised by communities settled in Mubende and Kiboga districts in Uganda, about claims to constitutionally protected land within the Namwasa and Luwunga Central Forest Reserves where we planted trees. It is a risk to NFC for any of our neighbours to feel aggrieved by the company, regardless of the legal frameworks. We voluntarily entered into dialogue with these communities, mediated by the World Bank's Office of the Compliance Advisor Ombudsman (CAO), which was successfully resolved by 2014.

We signed agreements with these community cooperatives and we fulfilled all our commitments. Both disputes have now been officially closed – the second shortly after the year under review - and recognised internationally as role models of successful resolution between private companies and communities.

PREVENTING CHILD LABOUR AND FORCED LABOUR

All of New Forests' plantations and timber processing sites proactively mitigate the risks of child and forced labour. In Rwanda, all citizens have government issued ID cards which the company checks to verify that all labour are over age 18. In Uganda and Tanzania, citizens do not have ID cards yet, so we require the labour to provide references from their village leaders who confirm they are above 18 and do not have criminal records. In all three countries, labour are recruited locally and at will. The company pays all employees directly and audits the contractor labour's payslips to ensure all workers are fairly compensated for their work and are not there out of force.



COMMUNITY HIGHLIGHT – FORESTS FOR PROSPERITY

The goal of Forests For Prosperity (FP) was to co-design win-win solutions with our neighboring communities. The communities told us they wanted capital to fund livelihoods projects. The Foresters wanted to reduce risks to the trees on plantation, especially from theft or fire and also protect any biodiversity or animals already in the forests. The discussions culminated in the creation of four new community associations, representing the bulk of the neighbours interested in the project. These associations were formally registered with the shared vision of forest protection. In exchange for modest payments, the communities agreed to help reduce the risks to our forests, such as fire, theft, grazing, hunting and charcoal burning. A mechanism was agreed to score each communities' performance and to link their payments to that performance. A competition element between the communities was also added. A micro-finance (MFI) partner, Opportunity Bank Uganda Limited, came onboard to provide loans to the communities based on their risk mitigation agreements to NFC.

In the NFC FY17 Sustainability Report we showed that good progress was being made with the FP pilot in Kirinya. Relations with the community had fundamentally shifted from strained to one of trust and partnership. The payments for risk management and loans from the MFI were enabling small businesses to develop. The communities responded very well to the competition element of FP, with the victorious parish very proud to receive the winners shield while hosting the FP ceremony. Based on these early indicators of success we signed new agreements with the communities for FY18 and highlighted the importance of fire avoidance for the coming year.

FMO generously started to fund the expansion of FP to both other plantations and the pole plant in Uganda over the next two years. We have increased the collaboration with Opportunity Bank, and were delighted to see many capacity building trainings happening for the communities throughout the year, where over 1000 community members have benefitted.

During the NGP study tour to Uganda in June, we were further encouraged by the positive feedback both the community and the tour participants gave on the program. Continuous improvements will be incorporated into the evolution of FP.

We are going to be hard on grazers who will not respect the agreed grazing prescriptions which benefit both our cattle keeping members and protect young trees in our forest.

– Member Agali-Awamu Farmer Field School of Bukatu Parish, Uganda





“

We have to ensure safety of our trees since it's the basis for the current working relationship between the Company and community under our Forests for Prosperity Program which enables us to earn our money and implement our programs for our members.

– Chairperson Balikyegomba Group of Wakawaka Parish, Uganda

RESULTS

After two years, we can proudly say that both the original goals are being achieved, in a cost effective sustainable way. We have significantly reduced risks to the plantations while helping provide seed capital and micro-finance for the establishment of profitable businesses that are being run by the communities themselves.

The graph below demonstrates the number of incidents (of fire, theft etc.) decreased from our baseline year of FY16 (33) to FY18 (12), representing a 66% drop in incidents. Timber theft is significantly down by 70%.

The only result which is a concern, is fires, which appears to have increased since FY16. Ideally, we should have a weighted average of three years to create the baseline, as fire risks per year differ greatly depending on temperature, wind and rainfall. Unfortunately, not all indexes were being tracked and measured in the same way earlier than FY16, so for data integrity, we chose only a single year for a baseline. Still, the trend is very clear, that with the right motivation, communities can become good neighbours, with a shared vision of prosperity being dependent on the forests.

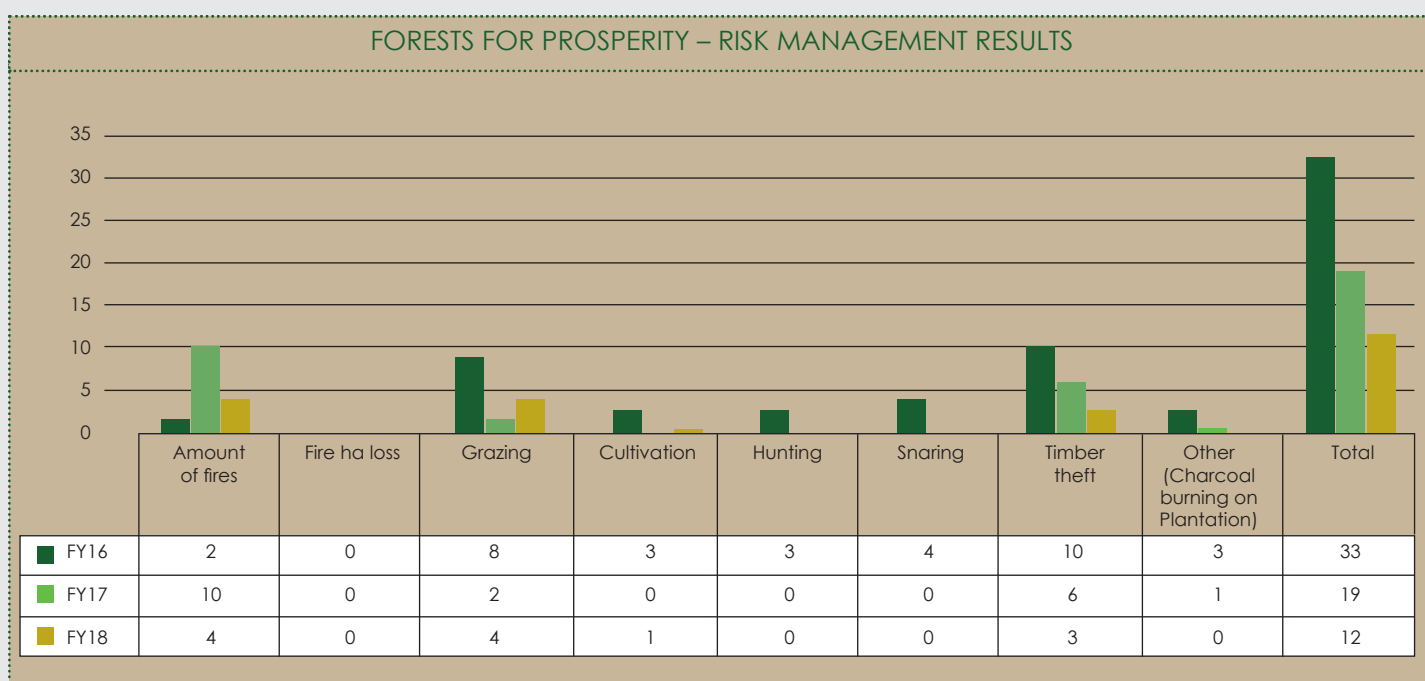
The second objective of FP is to generate capital for communities to develop their own livelihoods and sustainable businesses. The local council and an accountant assisted the Community Associations to report their basic finances, including a balance sheet calculation of equity generated for each of the past two financial years.

The equity is based on the risk management payments made by NFC, together with finance provided by Opportunity Bank, which were used to develop agricultural businesses, fishing businesses, the building of offices and the buying of tents for hire at events, amongst others. In FY16, these associations did not exist and their value was zero. In only two years the combined value the four community associations is UG 63 million shillings, almost US\$17,000.

The equity is expected to continue to grow, as NFC makes more risk payments which can be leveraged to generate more businesses. Thanks to capacity building and financial trainings, the confidence, trust and competence of the community members is the best indicator we have of sustainable livelihoods development.

During FY19, Forests For Prosperity will be rolled out through all our operations in Uganda and we are working towards our first FP pilot in Tanzania.

	FY18 (UG SHILLINGS)	FY17 (UG SHILLINGS)
Agali-awamu Community	11,278,450	5,564,550
Balikyegomba Community	21,030,000	7,220,000
Gema-kumwino Community	8,529,000	4,050,100
Kyabakaire Community	22,351,700	5,504,700
TOTAL EQUITY CREATED	63,189,150	22,339,350



When the concept of “Forests For Prosperity” was first explained – I was filled with doubt. My scepticism stemmed from multiple failed attempts of making such a concept work in some of the South African forestry companies I’ve been exposed to in the past. Never was I so pleasantly proven wrong with the “FP” concept implemented on our Kirinya plantation in Uganda. When I visited the plantation for an annual audit I found community members not only actively guarding all corners of the plantation with manual fire equipment, but cattle herders keeping stray cattle from entering the plantation. The “Forests For Prosperity” story was playing out effortlessly in front of my eyes.



Anton Greeff
Group Head of Forestry

“ More fulfilling was attending a session where all community representatives orderly came together to evaluate their own performance against a pre-determined scorecard for the year. All criteria scored against statistical proof gathered through the year; fires, illegal grazing, theft and other important plantation risks. Listening to community members share their success stories of multiplying their FP rewards through economically feasible projects in the community, was a humbling experience.

Not only did we manage to make a seemingly impossible concept work in East Africa, but also taking a small step towards actively changing the very real African challenge of dependency into agency.

CONSERVATION

As a business dependent on productive, healthy land, the company is committed to conserving and enriching biodiversity and ecosystems. NFC has a proactive approach to managing land through responsible forestry practices, helping neighbours adapt to climate change, and actively conserving indigenous forests, wetlands and woodlands.

CLIMATE CHANGE

The United Nations believes that climate change is the greatest environmental challenge facing mankind in the 21st century (<http://www.fao.org/forestry/climatechange/53459/en/>). Greenfield tropical forestry is one of the cheapest, most effective ways to mitigate climate change, provided it is done responsibly and sustainably. As we increase our outgrower program, we anticipate increased carbon sequestration and climate change mitigation through the growing of their trees and the promotion of landscape restoration.

An external expert calculated our greenhouse gas emissions in FY18 and concluded that the net effect of our operations was the removal of 325,000 metric tons of carbon emissions.

BIODIVERSITY AND HIGH CONSERVATION VALUE AREAS

There were no significant negative impacts from our activities, products or services on biodiversity in protected areas or other areas of high biodiversity value in FY18.

NFC conducted our first Biological diversity assessment in Rwanda during FY18, thanks to co-funding from DEG. The forest we manage in Rwanda is a buffer zone conserving one of the richest biodiversity hotspots in the world, Nyungwe National Park.

Previously we conducted biodiversity studies in Uganda in 2012 – 14 and in Tanzania in 2014. We complete these studies every five to eight years to compare trends. So far, there is only one IUCN Red List species identified within our operational areas, *Dioscorea Arborescens*, an orchid classified as endangered.

Our Safety, Health, Environment and Quality (SHEQ) Manager is responsible for driving our biodiversity monitoring plans. The conservation areas we protect are generally degraded forests and riparian zones next to streams and rivers and we do not conduct commercial plantation activities in these areas. In general, one third of the areas we manage are left for conservation purposes. We see plant and animal regeneration in our conservation areas including monkeys, buck, and snakes.

LAND MANAGEMENT

Our plantations are planted with eucalyptus and pine, and the conservation areas, summarized in the table below. New Forests counts any area within the land we manage that is being protected and preserved based on its pristine, natural or cultural value as conservation area. A small portion of this area is also being used for offices and roads.

NFC'S LAND USE SUMMARY (IN HECTARES)						
	Plantation Name	Total Area (ha)	Total Commercial Area (ha) %	Conservation Area		Remaining Plantable Area (ha)
				(ha)	%	
Uganda	Namwasa	9,157	5,339	3,818	42%	573
	Luwunga	9,304	5,027	4,277	46%	2,086
	Kirinya	3,502	2,703	799	23%	819
	Total	21,963	13,069	8,894	40%	3,478
Tanzania	Lukosi	2,517	1,568	949	38%	73
	Kisinga	4,790	2,789	2,001	42%	477
	Makungu	928	575	352	38%	28
	Total	8,235	4,933	3,302	40%	578
Rwanda	Nyamagabe	3,409	3,020	390	11%	535
	Karongi	1,823	1,621	202	11%	94
	Nyamasheke	3,332	2,765	567	17%	56
	Nyaraguru	1,423	1,248	175	12%	224
	Total	9,987	8,654	1,334	13%	909
NFC Group		40,186	26,656	13,530	34%	4,965
NFC Square Km's		402	267	135	34%	50

MANAGEMENT SYSTEMS AND COMPLIANCE

Our environmental policy and plans are core to our business' success. They have been crafted to be 100% compliant with the laws of the countries we work in as well as all the voluntary international certifications we adhere to: FSC, IFC E&S performance standards, ISO 14001, ISO 9001 and OHSAS 18001. These policies, management plans and operating procedures are all stored on our internal management system (IMS) database which all relevant employees access.

The company also has a monthly monitoring system to consolidate all our reporting requirements for investors, FSC, IFC, ISO, and others.

During FY18, New Forests did not receive any fines or non-monetary sanctions for environmental non-compliance nor any grievances. Uganda invested a total of \$134,141 on environmental expenses, \$15,000 in Tanzania and \$61,066 in Rwanda. This is a total investment across the group of \$210,207 1.5% of our annual revenues.

VOLUNTARY EXTERNAL ENVIRONMENTAL IMPACTS ASSESSMENTS IN FY18

Type of Assessment	Location	Date
Biodiversity Assessment	Nyungwe Plantation, Rwanda	July - Nov 2017
Biodiversity Review	Namwasa Plantation	Jan 2018
FSC Annual Surveillance Assessment	Lukosi Plantation, Tanzania	Feb 2018
FSC Annual Surveillance Assessment	Kirinya, Namwasa and Luwunga Plantations, Uganda	April 2018
ISO 14001: 2015 Surveillance Assessment	Mityana Pole Plant	March 2018





WATER AND CHEMICAL USAGE

2,445,000 litres of water were used from surface water on Lake Victoria, Netulidde stream and Wabitosi stream, as well as ground water in Kyankwanzi and Kiboga districts in Uganda. None of the sources were significantly affected by this withdrawal. All water abstraction in Uganda is closely monitored by the Ministry of Water, through applications for abstraction, issue of permits and quarterly monitoring of rate of abstraction through submission of abstraction records. We are yet to receive a complaint from the ministry pertaining to excessive use. We do not yet have records for Rwanda and Tanzania.

Our process that uses the most water is the dilution of copper chrome arsenate (CCA), the leading chemical for preserving poles against insect, weather, and other damage. This is also our only process that could generate hazardous waste, so it was expertly designed not to create any waste. Once water is mixed with the chemical, it is continuously reused and stays within this process, or the concrete bund that the treatment is carried out in, i.e. it is never discharged.

However, occasionally, we have pieces of CCA treated bark, wood and used gloves. These are collected and placed in a concrete bunded waste pit. When the pit is almost full, a new bunded waste pit is made. The full pit is then sealed with concrete for at least 50 years.

The CCA is kept in customized storage tanks erected within an impervious bund wall to prevent leaching. Our onsite diesel tank is also surrounded by a bund wall. Concrete drains are strategically located to channel water appropriately and to avoid soil erosion. In the unlikely event of a spill outside a bund wall, we have a spill kit on site that is sprinkled on the affected area to neutralize it. The contaminated soil is then buried in an impervious, specifically demarcated pit until the removal crew take it away for industrial disposal. There has not been an instance of spillage outside a bund area to date.

All of the pesticides we use are approved by the Forest Stewardship Council (FSC). There were no pesticide or oil spills reported that were greater than 50 litres. None of the operations carried out noxious weed control in FY18.

CHEMICAL USAGE IN FY18 (LITRES)

Active Ingredient	Uganda	Tanzania	Rwanda
Copper Chrome Arsenate (CCA)	280980	170371	87753
Glyphosate	7537	146	0
Triclopyr	556	0	0
Imidacloprid	250	0	0
DAP	0	2484	0



ENERGY CONSUMPTION

This year, our total energy consumption across the group was 16,338,885 MJ. This included 407184 litres of diesel, equivalent to 14,658,624 MJ, and 50917 litres of petrol, equivalent to 1,680,261 MJ. These were consumed in our vehicles as well as backup power generators.

Energy consumption from the electricity grid totaled 1,114 kWh (Estimate). This includes all of our operations except for the head offices in Lundamatwe, Tanzania, Kampala, Uganda, and Kigali, Rwanda. Energy consumption from renewable resources is currently not measured. We use a significant amount of solar energy in our rural operations.

We did not sell energy into the grid or to other parties. This may happen in the future when we generate sufficient biomass as a byproduct of our sawn timber.

CONSERVATION HIGHLIGHT – NGP STUDY TOUR

After almost a year of detailed planning, in June 2018, the New Generation Plantations (NGP) Platform held a study tour in Uganda. Hosted by the New Forests Company (NFC) and WWF-Uganda, this was NGP's first African study tour outside South Africa. It brought together 100 participants for the conference and more than 50 participants for the week, from Uganda and six other African nations, as well as Europe, China and the Americas. They included representatives from forestry companies, NGOs and the finance sector. The theme was 'Plantations for Africa's Prosperity', highlighting NFC's pioneering journey without a map in establishing a greenfield vertically integrated socially responsible and sustainable timber industry in Uganda.

The Hon Minister of Water and Environment Hon Sam Chpetoris opened the International Conference and launched the National Forests Stewardship Council Standard for Uganda. This Standard is the first on the African continent. During the formal first day in Kampala there were also keynote speeches from the CEO of Finnfund and NFC Group.

The study tour participants then spent four days in the field, visiting our plantations and having conversations with communities, to explore the challenges of illegal timber and the need for conservation to be balanced with development. We demonstrated the evolution of our CSR program from the traditional donor relationship to our Forests For Prosperity pilot, which is co-designed with the community.

NGP aspires to an ideal form of plantations that contribute positively to people and nature. They promote well managed, designed, inclusive and profitable plantations by sharing knowledge and experience. The tour has strengthened our partnership with WWF and encouraged us to work together to be a louder voice in the mitigation of climate change, and the need for sustainable, responsible forestry in East Africa.

The NGP Study highlights:

The challenges and future opportunities of innovative, sustainable finance mechanisms to support greenfield African forestry.

The importance and benefits of the partnership between conservation entities like WWF, certification bodies like FSC and forestry companies, such as NFC investing in the establishment of plantations to mitigate and preserve landscapes and biodiversity that is under severe threat due to deforestation and climate change.

The Forests for Prosperity model as an innovative way of aligning company and community interests, leading to a more effective mitigation of basic risks; providing new opportunities for poverty alleviation and building agency for neighbour communities.

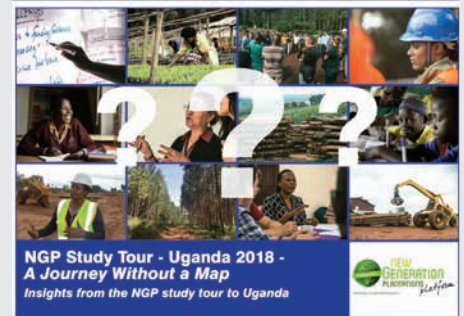
The potential and challenges of the NFC outgrower program in Uganda. The company is formalization the program to see outgrowers as preferred suppliers. This requires outgrowers to regularly access NFC's technical support in growing quality trees, a co-designed simple procurement system with NFC and access to the FP MFI partner (Opportunity Bank Uganda Limited) for short term small loans, to enable farmers to keep their trees in the ground longer, and reach better prices.



Luis Silva, the NGP lead had this to say after the study tour:

"The Uganda study tour, co-hosted by WWF-Uganda and NFC, described investing in African greenfield plantation forestry has been "like going on a difficult journey without a map". We may not yet have a map – but we hope this study tour has provided some signposts to help us on the journey. The New Generation Plantations platform will continue providing signposts aspiring to an ideal African plantation forestry that contribute positively to people and nature, such as the Forests For Prosperity."

There were two videos made by NGP of the study tour, as well as a daily blog. They can be accessed via <https://newgenerationplantations.org/> and <http://newgenerationplantationplantations.org/multimedia/file/af970e6d-7614-11e8-bac2-005056986313>



“

We thank NFC for considering Mityana out growers to host NGP visitors and we have achieved much from sharing challenges and experiences affecting tree growers in Uganda with the international participants from all the continents of the world.

– Kabanda Kiiza

COMMERCE

The company is East Africa's premier supplier of treated utility poles with a reputation for high quality and reliability. NFC maintains strict adherence to international best practice and standards, producing locally treated, durable, weather-resistant transmission poles for rural electrification purposes. Operating in Uganda, Tanzania, and Rwanda, we are also cost competitive for the Kenyan market.

With sawmills and a value added plant and dry kiln, we produce housing and construction timber as well as industrial pallets, replacing poor quality illegally harvested wood products, or imported plastic and steel products.

The New Forests Company is proud of the impact we have on our host economies, including:

Long term, rural, job creation.

Local skill building.

Incentivising and supporting local tree planting.

Cluster industry development of our suppliers and service providers with multiplier effect on local businesses.

Cheaper rural electrification through lower priced, high quality transmission poles.

Enabling construction industry by providing local, affordable, high quality timber products.

Import substitution and exports leading to foreign exchange earnings and savings.

Local value addition processing.

Industry diversification.

Increased tax revenues.

Reduced corruption.

While we contribute to many of the UN Sustainable Development Goals, promoting rural electrification is an accelerator many of the other goals.

JOB CREATION

NFC created 1,331 jobs in FY18, an increase on FY17 as we commissioned the Value Added plant in Rwanda. In addition, we create significant indirect jobs resulting from our suppliers and cluster industries that spring up around our operations.

We prioritize our neighbours for recruitment opportunities, as part of the shared value strategy. Operating in rural areas means that few have progressed beyond primary school with no forestry experience, so we include on the job training and upskilling, as well as OHS trainings.



QUALITY

With first class processing sites, outstanding quality control and experienced management, New Forests is a leading pole and sawn timber producer in the region. Quality-control teams operate in-house laboratories to oversee the consistency and superior treatment of our products. Our best practices are defined by the European Committee for Standardisation; the South African National Standard, and the standards and treatment requirements mandated by members of the East African Community. NFC paid no fines in FY18 for non-compliance with laws or regulations concerning the provision and use of our products.

During FY18, we conducted the following ISO quality audits:

Mityana Pole Plant Uganda ISO 14001:2015 surveillance in March 2018	Mityana Pole Plant Uganda ISO 9001:2015 surveillance in September 2017	Iringa Pole Plant Tanzania ISO 9001:2015 surveillance in January 2018	Nyanza Pole Plant Rwanda ISO 9001:2015 surveillance in July 2018
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Quality is an increasingly important issue to us both commercially and within our shared value strategy as our customers realize the high cost of procuring low quality poles.

During an external technical assessment of The New Forests Company Group, funded by FAO, by the Fractal Group in April 2018, the following conclusions were made regarding our quality:

NFC has a high degree of professionalism in its forestry planning department and accuracy in its forest inventory data and forest volume predictions.

The maps and database are accurate and up-to-date.

NFC uses a full suite of forest management and general business administration systems comparable to some of the most sophisticated and well-established forestry and wood processing enterprises in the world.

NFC have been particularly innovative and have demonstrated an entrepreneurial approach to the many challenges that have been successfully addressed.

Some examples, among other, are the following:

Vertical integration of its operations.

Trading of poles from third party suppliers while its own plantations are still growing.

Development of low-cost sawmills.

Outsourcing the nurseries to community-based entities.

Fire protection arrangements with neighbours.

Securing grant funding for social and environmental projects aligned to NFC's commercial objectives.

The fractal report concluded that NFC "presents itself as an attractive investment opportunity, being a largely de-risked proposition with experienced and strong management team that has a sound knowledge of its operating environments".

SUPPLY CHAIN

It is company policy to prefer local suppliers and the majority of funds are spent locally. Uganda procured 82% of its supplies locally, Rwanda 89% and Tanzania 71% in FY18.

Typical procurement needs are road maintenance and construction equipment, building supplies, vehicles, machines, tractors, tools, pumps and spares, electrical equipment, personal protective equipment, raw pole and sawn timber material. External suppliers are only considered when local supplies prove to be sub-standard or significantly more expensive.

We procure our timber from local tree planters or outgrowers.

NFC are encouraged by our stakeholders to increase supply chain transparency. While we agree with this principle, unfortunately, we have not found a commercially viable way to do it. If our market does not value this and we are the only ones taking on these costs, rather than shifting the market, it will drive the most responsible companies out of the market.

The company now work with stakeholders to apply this important pressure to customers who can help drive the entire the market in this direction. Commercially incentivising supply chain responsibility is the only way to institutionalize these practices in the long-run.

COMMERCE HIGHLIGHT – OUTGROWERS IN THE SUPPLY CHAIN

NFC has distributed over 10 million seedlings to ~6,400 outgrowers in the communities surrounding our plantations. The community's trees create a buffer zone around our commercial plantations that reduce the risks of theft, fire, and grazing by the community. It also enables the communities to have their own source of wood, understand the economics of commercial tree planting and benefit from higher incomes in the long-term.

Thanks to support from funders in Tanzania and Rwanda we are creating more shared value with outgrowers, through greater attention to technical support and capacity building through community associations. We are also creating GPS mapped databases of the outgrowers, their contact details and tree specifications that can be uploaded to our plantation management software. Our intention is to view outgrowers as preferred suppliers and co-develop a simple procurement system with them.

We target the following key groups surrounding our plantations for participation in the programme:

- Smallholder farmers.
- Larger commercial growers.
- Schools and other community institutions.
- Existing community groups (women's groups, youth groups, etc) with a proven track record of managing projects together.
- Farmers and traders who supply poles to NFC.

Alternate Incomes

We promote alternative incomes to enable outgrowers to not harvest their trees until they are more mature and can attract higher prices. NFC has distributed ~7,000 fruit tree seedlings, such as mango and avocado for this purpose in Tanzania. In Rwanda over 1.6 million seedlings distributed were purchased from a community nursery that NFC helped to establish. This community was illegally cultivating in the wetland areas of the plantation, so NFC worked with them and local government officials to agree that they would voluntarily leave the wetland, form a cooperative, and create a tree nursery as an alternative livelihood, supported by NFC with funds, technical training, and markets. Additionally, twelve outgrowers focused savings and loan associations have been established in Tanzania and Rwanda to help sustain rural livelihoods.

Extension Foresters

Both Tanzania and Rwanda utilize extension foresters to provide ongoing technical support (from initial land surveys, site-species matching recommendations to training on planting, seedling care, monitoring and maintenance of woodlots). Extension foresters require a unique combination of capabilities that are not easy to find:

- Forestry skills (for quality silvicultural practices).
- Technological transfer skills (GIS& mapping, data processing, land use plan).
- Social/community development skills.





In FY18 the CSR Programme Manager and Forestry Manager in Tanzania initiated a competence development strategy that equips extension foresters with required skills by spending two days a week on the NFC plantation to learn silvicultural practices and then practice the same activities in communities for the remaining days a week. The technological transfer of GIS, mapping and data processing skills are provided in-house on the job training and through peer learning. Community liaison officers are located in key villages and work very closely with extension foresters on community association formation for outgrowers and livelihood development activities. The CSR and Forestry Manager meet weekly to review progress and the Planning manager provides feedback on the quality of GPS and database mapping.

Making outgrowers preferred Suppliers

We offer the farmers a market guarantee that if their trees meet our quality specifications, we will buy their trees at market prices when they mature. However, we make it clear that they are free to sell to anyone, as they own the trees. The extension forester and Community Development Officer (CDO) ensure this message is reinforced during trainings and regular community meetings.

We want farmers to have confidence of a secure market for their timber and we are exploring the possibilities of micro-loans from an MFI to offer short term funding solutions that might otherwise have resulted in a farmer felling his trees before they reach maturity. This will also incentivize more outgrowers to join the programme and to keep their trees in the ground longer. A key challenge for farmers is that they currently sell to middlemen who reap the bulk of the profits. By building stronger relations with outgrowers and making them preferred suppliers, over the middlemen, we hope to see more value for the timber being realized by the farmer directly.

Predicting the exact economic impact of this programme is not easy because farmers are free to do whatever they choose with their asset and can harvest and sell at any age. With improved technical support we expect the quality of trees to improve over time, increasing the farmer's potential revenues further.

The NFC outgrower programme benefits the community and conservation, by promoting rural livelihoods and climate change mitigation and adaptation. It has also improved relations between the community and the company to a point where we view each other as partners. The goal is to enable smallholder farmers to easily do business with the company and access finance to further build their businesses. This also allows the company to expand our strategic supply chain without the added complications of land acquisition and the reputational risks that come with land management. This shared value approach is key to making East African forestry a successful industry and key part of the solution to global climate change.

“ We are giving this certificate of recognition to the NFC Pole Plant for living with us as a responsible concerned citizen without causing any harm to our lives and environment and providing opportunities to our people, Uganda.

– Anney Nantongo

REPORT PROFILE AND MATERIALITY

PROFILE

The New Forests Company publishes sustainability reports annually in accordance with the GRI's G4 core report framework. This report covers the company's fiscal year 2018 (FY18), July 1st 2017 through June 30th 2018. NFC's last report was published in November 2017, detailing FY17. Unless otherwise stated, all areas of operation have been considered under each indicator, including: the offices, plantations, processing plants, and all other operations in Uganda, Rwanda, Tanzania, South Africa, and Mauritius. NFC has externally assured up to six indicators in the past but decided this was not a cost-effective use of our resources and none of our stakeholders have requested it. There were no restatements of information in previous reports and no significant changes in scope and aspect boundaries from the FY17 report.

All queries and comments regarding this report can be forwarded to

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MATERIALITY

NFC's management team, executive committee, and board of directors have reviewed our performance over the last year, the risks we have faced, and our overall shared value philosophy in determining the material aspects to include in this report. Throughout the year, management and staff engage stakeholders and include their feedback in this process. We based this process on the GRI's four principles of defining report content: materiality, stakeholder inclusiveness, sustainability context, and completeness.

The material aspects listed in the GRI Content Index table we identified for our Rwanda, Uganda and Tanzania operating companies and their major external stakeholders which include suppliers, customers, government entities, and neighbouring communities, as well as international certifications like the Forest Stewardship Council and international standards like the International Finance Corporation's Social and Environmental Performance Standards; the holdings and management services organizations exist only to support these three operations and do not have material operations themselves.

GRI G4 Content Index in Accordance with the Core Report Guidelines

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3	Public policy	SO 6	22
3	Anti-competitive behaviour	SO 7	23
3	Compliance	SO 8	23
3	Grievance mechanisms for impacts on society	SO 11	27
5	Product responsibility compliance	PR 9	39



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